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KINGDOM OF LESOTHO

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STAFF REPORT FOR THE 2023 ARTICLE IV CONSULTATION—DEBT SUSTAINABILITY ANALYSIS

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Prepared by the staff of the International Monetary Fund (IMF) and the International Development Association (IDA).

Joint Bank-Fund Debt Sustainability Analysis	
Risk of external debt distress	***Moderate***
Overall risk of debt distress	***Moderate***
Granularity in the risk rating	***Limited space***
Application of judgment	***No***

Lesotho's risk of external and overall debt distress remains moderate, with risks to debt sustainability broadly unchanged since the last DSA.[1] The surge in SACU transfers is expected to improve the fiscal balance in FY22/23 and help stabilize the public debt burden in the medium term. However, growing risks to debt from unaddressed contingent liabilities, exchange rate depreciation, and persistent domestic arrears, elevate debt sustainability risks. While debt indicators remain below their thresholds under the baseline scenario, stress tests indicate that both the PV of public debt-to-GDP and PV of PPG external debt-to-GDP are vulnerable to contingent liability, current transfers-to-GDP, exchange rate, and export shocks, breaching their thresholds in the near term. The moderate risk rating suggests limited space to absorb shocks. The use of windfall external transfers to amortize public debt over the medium term is critical to create a buffer against future volatility and setbacks in reform implementation. Improved efficiency on critical public infrastructure investment is needed to raise productivity and lift the growth outlook. Finally, addressing contingent liability risks, strengthening public financial management, and introducing robust and enforceable fiscal rules will be critical for maintaining debt sustainability.

[1] This DSA updated the previous Joint DSA from May 2022 (IMF Country Report No. 22/161). The DSA analysis reflects a debt carrying capacity of Medium considering Lesotho's Composite Indicator Index of 2.86, based on the IMF's April 2023 World Economic Outlook and the 2022 World Bank Country Policy and Institutional Assessment (CPIA).

PUBLIC DEBT COVERAGE

1. The coverage of the DSA remains broadly same since the last DSA in 2022 (Text Table 1). Debt coverage includes both external and domestic obligations.[2] The perimeter of the public debt includes the central government, central bank debt taken on behalf of the government, and government-guaranteed debt of SOEs.[3] Debt also includes domestic arrears, estimated at 1.8 percent of GDP as of March-2023.[4] The authorities have started publishing the Debt Transparency Report on the website of the Ministry of Finance Development and Planning in FY22/23 in agreement with the World Bank under the Sustainable Development Financing Policy (SDFP). The report also includes government-guaranteed debt of SOEs but total SOE debt is not available.

2. The DSA includes a contingent liability stress test to capture extrabudgetary units, SOEs, and financial market shocks in the assessment (Text Table 2).[5] The contingent liability stress test incorporates the following shocks:

- The pension fund financing gap—estimated at 7.4 percent of GDP.[6]
- Liabilities associated with potential asset seizures—estimated at 2.5 percent of GDP.[7]
- 5 percent of GDP for a financial market shock that exceeds the existing stock of banks' NPLs.

[2] Definition of external/domestic debt is based on currency principle as the data on residency basis is not available and there are neither locally-issued FX-denominated debt nor significant foreign holdings of local currency debt.

[3] The DSA does not include the central bank's net liability to the IMF SDR department in line with the Guidance Note for Fund Staff on the Treatment and Use of SDR Allocations (July 28, 2021).

[4] Arrears to providers of goods and services to the government have been accumulating as Ministries, Departments, and Agencies (MDAs) continue to undertake spending outside of IFMIS. The government is not in arrears on any debt repayments.

[5] The contingent liability stress test includes involves a one-off increase in the debt-to-GDP ratio in the second year of the projection. The shock has two components: (i) a minimum starting value of 5 percent of GDP (representing the average cost to the government of a financial crisis in a LIC since 1980; see Laeven and Valencia (2013); and (ii) a tailored value, reflecting additional potential shocks for portions of the public sector that are not included in the definition of public debt used in the DSA.

[6] The Public Officers Defined Contribution Pension Fund was established in 2008. According to the latest actuarial evaluation of pension liabilities obtained during the mission, the funding gap stands at LSL3.1 billion as of March 31, 2021. As part of government's effort to support sustainability of the pension fund and reduce contingent liabilities, the authorities plan to cover about two-thirds of this financing gap (LSL2 billion) with ten equal annual installments of LSL200 million from the budget starting in the current fiscal year. The other one-third of the gap is to be covered by the pension fund's operating income, which in turn will be supported by increased contributions. Close monitoring of the execution of the government's recapitalization plan and the evolution of the pension scheme's unfunded liabilities and associated fiscal risks is required.

[7] Frazer Solar GmbH is seeking to enforce damages of EUR50 million related to a contract to supply solar power equipment to Lesotho. While the High Court of South Africa had decided in favor of the company in April 2021, the Commercial (High) Court of Lesotho ruled in November 2022 that the original contract was unconstitutional and invalid as the Loans and Guarantees Act (1967) provides that only the Minister of Finance has the authority to contract projects and loans on behalf of the government of Lesotho. However, Frazer Solar has dismissed the ruling and continues to pursue global enforcement proceedings.

- 3.7 percent of GDP for SOE debt, which is not captured in the country's definition of public debt. Calibration includes LSL1.5 billion as an estimate for non-guaranteed and on-lent debt of the six fully-owned and four majority-owned SOEs.[8]

Text Table 1. Lesotho: Coverage of Public Sector Debt and Design of the Contingent Liability Stress Test

	Subsectors of the public sector	Sub-sectors covered
1	Central government	X
2	State and local government	
3	Other elements in the general government	
4	o/w: Social security fund	
5	o/w: Extra budgetary funds (EBFs)	
6	Guarantees (to other entities in the public and private sector, including to SOEs)	X
7	Central bank (borrowed on behalf of the government)	X
8	Non-guaranteed SOE debt	

Text Table 2. Lesotho: Summary of Shocks Used for the Contingent Liabilities Stress Test

1	The country's coverage of public debt	The central government, central bank, government-guaranteed debt			
		Default		Used for the analysis	Reasons for deviations from the default settings
2	Other elements of the general government not captured in 1.	0	percent of GDP	10.0	Contingent liabilities representing the funding shortfall of the civil service pension fund and the asset seizure by Frazer Solar GmbH.
3	SoE's debt (guaranteed and not guaranteed by the government) 1/	2	percent of GDP	3.7	Contingent liabilities relating with on-lent debt to SOEs considered to pose fiscal risk.
4	PPP	35	percent of PPP stock	0.0	Estimated value of PPP capital stock
5	Financial market (the default value of 5 percent of GDP is the minimum value)	5	percent of GDP	5.0	
	Total (2+3+4+5) (in percent of GDP)			18.7	

1/ The default shock of 2% of GDP will be triggered for countries whose government-guaranteed debt is not fully captured under the country's public debt definition (1.). If it is already included in the government debt (1.) and risks associated with SoE's debt not guaranteed by the government is assessed to be negligible, a country team may reduce this to 0%.

BACKGROUND

3. Lesotho's public debt has increased since the last DSA (Text Table 3).[9] The gross public debt-to-GDP ratio has increased by 4.1 percentage points to 59.8 percent of GDP in FY22/23, reflecting both exchange rate valuation effects on external debt and growing domestic debt issuance. Given that foreign currency-denominated external debt—of which approximately 90 percent is US$-denominated—accounts for 75 percent of total debt, valuation effects from the strengthening U.S. dollar against the South African Rand (ZAR) and Maloti (LSL) have a material effect on the debt-to-GDP ratio. The ZAR depreciated against the US$ by 17 percent during FY22/23, contributing the lion's share of the increase. Higher domestic borrowing was mainly driven by the larger public spending due to the lower external transfers from the Southern African Customs Union (SACU).

4. Debt relief under the Catastrophe Containment and Relief Trust (CCRT) and the Debt Service Suspension Initiative (DSSI), combined with new resources from the general SDR allocation, provided some fiscal space. The authorities received SDR3.8 million relief on debt service under the CCRT

[8] The calibration includes an estimate of the portion of on-lent debt that is not accounted for in the government debt stock.

[9] The fiscal year runs from April 1 to March 31.

in 2021 and suspended roughly US$5 million under the DSSI supported by the G-20 and Paris Club.[10] The 2021 general SDR allocation (SDR66.9 million, US$95 million) remains on the balance sheet of the Central Bank of Lesotho (CBL) as part of international reserves. The authorities have not directly accessed SDRs through on-lending. However, the SDR allocation indirectly helped to ease fiscal financing constraints as government deposits—otherwise used to support international reserves—have been partially drawn down to meet public spending needs. Staff encourages the use of SDRs to bolster reserves and (indirectly) support priority (emergency) spending. The baseline scenario in the macroeconomic framework assumes no drawdown of SDR holdings. Instead, projections for net credit to government (NCG) and government deposits at the CBL available to meet public spending needs are informed by SDR holdings.

5. Most of Lesotho's external debt is owed to multilateral creditors on a concessional basis (Text Table 3). External debt accounts for 74 percent of total public debt and is predominantly owed to multilateral partners on concessional terms. The main creditor is the International Development Association (IDA), followed by the African Development Fund (AfDF), the European Investment Bank (EIB), and the IMF. Debt owed to bilateral creditors accounts for less than 15 percent of total external public debt. Of this, China accounts for 70 percent.

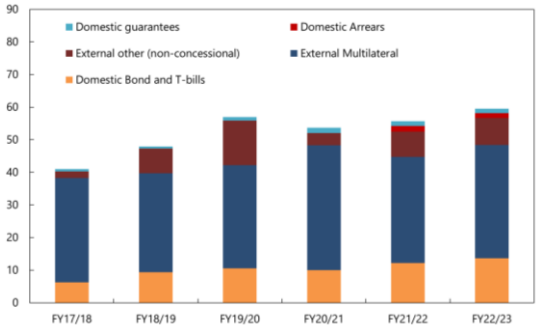
6. The share of domestic public debt ([26.2] percent in FY22/23) has increased in recent years. Denominated in local currency, domestic debt has been issued through treasury bills and bonds at various maturities and is predominantly held by banks, insurance companies, and individuals (see Text Figure 1). The average yield was 8.5 percent in FY22/23. While increasing domestic debt issuance has helped the authorities meet public financing needs and deepen local currency markets, the banking sector has limited appetite for absorption beyond regulatory compliance requirements. In an environment of limited financial intermediation, the government is also at risk of crowding out private sector borrowing.

7. The authorities have received joint IMF-World Bank technical assistance on developing the local currency bond markets (LCBM). Key recommendations include to: (i) introducing short-term liquidity management instruments by the CBL to set the stage for primary market and money market development; (ii) improving integration of government cash and debt management and associated forecasting; (iii) recording and publishing trades on an aggregate basis; and (iv) fostering the development of the domestic investor base. Together with a prudent debt management strategy, the LCBM can play an important role in reducing high exposure to foreign-currency debt, provide a stable source of funding for public financing needs, and support financial development.

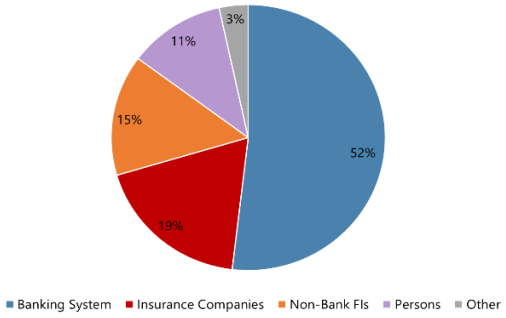
[10] The initiative provides a time-bound suspension of official bilateral debt service payments to IDA-eligible and least developed countries.

Figure 1. Domestic Public Debt and Holder Profile

Public and Publicly-Guaranteed Debt
(FY17/18 – FY22/23)



Domestic Debt Holder Profile
(As of Dec 31, 2022)



Text Table 3. Lesotho: Decomposition of Public Debt and Debt Service by Creditor, 2022/23–2024/25[1]

	Debt Stock (end of period)			Debt Service					
	2022/23			2022/23	2023/24	2024/25	2022/23	2023/24	2024/25
	(US$ Millions)	*Percent total debt)*	*(Percent GDP)*	*(In US$)*			*(Percent of GDP)*		
Total	1,474.0	100.0	59.8	184.2	134.0	136.9	7.5%	5.4%	5.6%
External	1,081.9	73.4	43.9	72.4	65.2	73.5	2.9%	2.6%	3.0%
Multilateral creditors[2]	828.5	56.2	33.6	53.2	52.5	60.7	2.2%	2.1%	2.5%
IMF	50.8	3.4	2.1						
World Bank	448.9	30.5	18.2						
ADB/AfDB/IADB	161.0	10.9	6.5						
Other Multilaterals	167.9	11.4	6.8						
o/w: European Investment Bank	75.0	5.1	3.0						
o/w: Arab Bank for Econ Dev in Africa	37.2	2.5	1.5						
o/w: International Fund for Agr Dev	36.5	2.5	1.5						
Bilateral Creditors	239.8	16.3	9.7	13.3	12.2	12.2	0.5%	0.5%	0.5%
Paris Club	-	0.0	0.0	0.0	0.0	0.0	0.0%	0.0%	0.0%
Non-Paris Club	239.8	16.3	9.7	13.3	12.2	12.2	0.5%	0.5%	0.5%
o/w: China	185.5	12.6	7.5						
o/w: Kuwait	20.9	1.4	0.8						
Bonds	-	0.0	0.0						
Commercial creditors	9.1	0.6	0.4						
Other international creditors	4.5	0.3	0.2						
Domestic	392.0	26.6	15.9	111.8	68.8	63.5	4.5%	2.8%	2.6%
T-Bills	91.3	6.2	3.7						
Bonds	195.8	13.3	7.9						
Loans	-	0.0	0.0						
Memo items:									
Collateralized debt[3]	-	0.0	0.0						
o/w: Related	-	0.0	0.0						
o/w: Unrelated	-	0.0	0.0						
Contingent liabilities	33.3	2.3	1.4						
Nominal GDP	2,463.8								

1/ As reported by Country authorities according to their classification of creditors, including by official and commercial. Debt coverage is the same as the DSA, except for.

2/ "Multilateral creditors" are simply institutions with more than one official shareholder and may not necessarily align with creditor classification under other IMF policies (e.g. Lending Into Arrears)

3/ Debt is collateralized when the creditor has rights over an asset or revenue stream that would allow it, if the borrower defaults on its payment obligations, to rely on the asset or revenue stream to secure repayment of the debt. Collateralization entails a borrower granting liens over specific existing assets or future receivables to a lender as security against repayment of the loan. Collateral is "unrelated" when it has no relationship to a project financed by the loan. An example would be borrowing to finance the budget deficit, collateralized by oil revenue receipts. See the joint IMF-World Bank note for the G20 "Collateralized Transactions: Key Considerations for Public Lenders and Borrowers" for a discussion of issues raised by collateral.

ASSUMPTIONS

8. The growth outlook remains subdued. The baseline assumptions in the DSA are consistent with the macroeconomic framework outlined in the staff report for the 2023 Article IV Consultation for the Kingdom of Lesotho (Text Table 4). Headwinds from the global and regional slowdown are expected to drag on growth over the medium term, alongside delays to the second phase of the Lesotho Highlands

Water Project (LHWP-II), while the private sector needs time to gain momentum following years of resource misallocation from high and rigid public expenditure. In the absence of stronger consolidation, the fiscal deficit is assumed to widen, debt to accumulate and reserves to drain over the medium term. While SACU transfers are 9.4 percentage points of GDP higher in FY23/24 than FY22/23, the windfall over the next two years—around 5 percentage points of GDP relative to the past five-year average—is not expected to persist over the medium term. The fiscal balance and current account excluding LHWP-II-related imports will move into surplus before deficits reemerge over the medium-term. The windfall is also expected to help bolster reserves in FY23/24, which, absent consolidation, are also expected to erode gradually as deficits return. The government is expected to increase reliance on domestic financing as local currency bond markets develop, which will proportionally increase outstanding debt across both short-term and long-term maturities.

- **Real GDP growth**: The assumption for medium- and long-term growth remains at 1.5 percent as in the previous DSA but lower than the assumed 3.7 percent in 2020 DSA. Since 2020, the national accounts data revisions revealed a contraction in the economy over the last four years. The sluggish regional environment amid global financial tightening and the energy crises in South Africa coupled with Lesotho's longstanding structural weaknesses, weigh on growth.

- **Inflation:** Inflation is estimated to have peaked in FY22/23 and expected to subside gradually as global food and energy prices ease. As a result, the forecast for average inflation has been revised upward since last DSA to 5.4 percent over the medium term, reflecting higher commodity and energy prices. Over the long-term, inflation is assumed to remain driven by the monetary policy developments in South Africa and anchored within its inflation target range of 3–6 percent.

- **Fiscal deficit**: The assumed reduction in public expenditure over the medium term is smaller than the previous DSA. This reflects more limited consolidation given the alleviation of financing constraints from the surge in SACU transfers. While this would increase the primary deficit, it is also assumed to improve relative to the last DSA on the back of the SACU windfall. Under current projections, these transfers will average 18.8 percent of GDP over FY23/24–FY28/29. As a result, the primary fiscal balance is assumed to be in deficit on average by 0.4 percent of GDP over FY23/24–FY28/29, 2.4 percentage points smaller than the previous DSA.

- **External Sector**: While uncertainty over the LHWP-II and weaknesses in export sectors are expected to persist, higher-than-expected external SACU transfers—and the resulting improved fiscal balance—are expected to help improve the non-interest current account balance over the medium term, compared to the previous DSA. With limited consolidation efforts, the average current account deficit is assumed to widen to almost 4 percent of GDP over the long term. Average export and import growth (in US$ terms) over the medium term is expected to be weaker compared to the last DSA due to the valuation effects from the stronger US$.

Text Table 4. Lesotho: Macroeconomic Assumptions

	2020 DSA 2020–25	2022 DSA 2022–27	2023 DSA 2023–28	2020 DSA 2026–40	2022 DSA 2028–42	2023 DSA 2029–43
Real GDP Growth (Percent)	1.8	1.6	2.1	3.7	1.5	1.5
Inflation (Percent)	4.8	5.2	5.3	4.9	4.9	4.9
Primary Deficit (Percent of GDP)	1.9	2.8	0.4	0.5	0.8	0.4
USD Export Growth (Percent)	4.5	7.4	2.5	6.8	6.0	6.6
USD Import Growth (Percent)	3.9	5.4	2.3	5.7	5.8	6.5
Non-interest Current Account Balance (Percent of GDP)	-12.8	-8.9	-4.6	-1.6	-2.2	-3.6
Net FDI (negative = inflow)	-0.9	-1.2	-0.7	-0.9	-1.1	-0.8
Grant element of new public sector borrowing (in percent)	32.1	24.8	24.9	21.1	23.6	23.8
External Debt (Percent of GDP)	51.4	47.2	44.5	45.6	41.1	40.5
Public Sector Debt (Percent of GDP)	61.9	63.3	61.1	52.0	60.7	61.5

Sources: IMF Country Report No. 22/161 and IMF staff calculations.
Note: Average of 2023–28 is the average of FY23/24–FY28/29.

- **Concessional borrowing**: External loan disbursements in the DSA incorporate the authorities' most recent projections and reflect commitments with donors. The profile for external borrowing is assumed to remain broadly unchanged and will continue to be channeled by donors for investment (over 60 percent of total public financing). Concessional external borrowing is assumed to remain critical for financing large investment projects. The grant element for concessionality is assumed to remain broadly similar to the last DSA, both in the medium and long term.

- **Domestic borrowing**: In line with the authorities' medium-term goals, the development of the domestic debt market—which is being supported by joint IMF-WB capacity development—is assumed to continue. The baseline assumes that the share of domestic debt in total debt will be in line with financial sector growth. The profile for domestic borrowing and the mix of instruments to be used are assumed to remain broadly unchanged.

9. The realism of the macroeconomic framework is confirmed by standard measures. However, high uncertainly over the outlook and ongoing revisions to national accounts data call for caution for interpretating these results (Figures 3 and 4).

- **Public debt:** While baseline macroeconomic assumptions remain conservative, the projected increase in public debt is lower than in the past. Realism tools flag that (i) the projected three-year adjustment in the primary balance is in the top quartile and (ii) the estimated impact of consolidation on growth is lower than that implied by the default fiscal multipliers. These are largely due to the projected improvement in the primary fiscal balance driven by the rebound in SACU transfers in FY23/24 and FY24/25, which has raised cumulative inflows by 15 percentage points of GDP over the next five years compared to the previous DSA. In addition, GDP growth is also expected to be moderately boosted by LHWP-II-related construction and higher transfers. The more favorable contribution of GDP growth in the future debt dynamics compared to the past is also explained by (i) the rebound in activity as the economy reopened after the COVID-19 pandemic; and (ii) the 2021 national accounts data revision resulted in a reduction in nominal GDP for 2018–21, shrinking the

GDP denominator. The residuals, which contribute to the increase of the projected public debt ratio, are driven by the accumulation of government deposits at the central bank to beef up the international reserves. The unexplained change in public debt relative to the LIC median remains broadly the same compared to the previous DSA and is largely explained by the above-mentioned data revisions in national accounts.

- **External debt**: External debt is also lower than in the past for similar reasons as most external debt is public debt. Mirroring the fiscal balance, the current account balance excluding the LHWP-II project-related imports is projected to improve in the near-term. The large residuals to external debt accumulation are attributable entirely to capital transfers from South Africa, not captured in the DSA, used to finance the LHWP-II.

COUNTRY CLASSIFICATION AND DETERMINATION OF SCENARIO STRESS TESTS

10. Lesotho has a medium debt carrying capacity (Text Table 5)**.** Debt carrying capacity is determined by a composite indicator (CI) that includes the World Bank's Country Policy and Institutional Assessment score, global economic growth, Lesotho's real growth rate, import coverage of reserves, and remittances. The composite indicator for the April 2023 WEO data and the World Bank's 2021 CPIA score yields a medium CI rating (2.86), similar to the previous vintage.

11. Lesotho does not trigger other tailored stress tests. Apart from the contingent liability tailored shock described above, Lesotho's economic characteristics do not trigger any of the tailored stress tests on natural disasters, commodity prices, and/or market financing risk module.

Text Table 5. Lesotho: Debt Carrying Capacity and Thresholds

Debt Carrying Capacity and Thresholds

Country	Lesotho
Country Code	666
Debt Carrying Capacity	Medium

Final	Classification based on current vintage	Classification based on the previous vintage	Classification based on the two previous vintages
Medium	Medium 2.86	Medium 2.90	Medium 2.97

Applicable thresholds

APPLICABLE	
EXTERNAL debt burden thresholds	
PV of debt in % of	
Exports	180
GDP	40
Debt service in % of	
Exports	15
Revenue	18

APPLICABLE	
TOTAL public debt benchmark	
PV of total public debt in percent of GDP	55

Calculation of the CI Index

Components	Coefficients (A)	10-year average values (B)	CI Score components (A*B) = (C)	Contribution of components
CPIA	0.385	3.303	1.27	44%
Real growth rate (in percent)	2.719	0.205	0.01	0%
Import coverage of reserves (in percent)	4.052	31.528	1.28	45%
Import coverage of reserves^2 (in percent)	-3.990	9.940	-0.40	-14%
Remittances (in percent)	2.022	15.494	0.31	11%
World economic growth (in percent)	13.520	2.898	0.39	14%
CI Score			2.863	100%
CI rating			Medium	

New framework			
	Cut-off values		
Weak	CI <	2.69	
Medium	2.69	≤ CI ≤	3.05
Strong	CI >	3.05	

Reference: Thresholds by Classiciation

EXTERNAL debt burden thresholds	Weak	Medium	Strong
PV of debt in % of			
Exports	140	180	240
GDP	30	40	55
Debt service in % of			
Exports	10	15	21
Revenue	14	18	23

TOTAL public debt benchmark	Weak	Medium	Strong
PV of total public debt in percent of GDP	35	55	70

EXTERNAL DEBT SUSTAINABILITY ANALYSIS

12. Under the baseline scenario, the PV of external debt-to-GDP ratio remains below but close to its corresponding thresholds (Tables 1 and 2, and Figure 1). The present value (PV) of public and publicly guaranteed (PPG) external debt-to-GDP is expected to remain at broadly the same level in the coming years before gradually increasing again. Relatively lower external borrowing in the near-term term is the result of attenuated financing needs due to the recent windfall in SACU transfers. Over the medium term, the reprieve for the fiscal position fades as lower SACU transfers and the relative expansion of private sector investment raises the external financing needs once again. All indicators of external debt sustainability remain below their thresholds.

13. Stress tests show that Lesotho's external debt is most vulnerable to current transfers-to-GDP,[11] exchange rate, export, and combined contingent liabilities shocks (Tables 3 and 4, and Figure 1). For these shocks, the PV of PPG external debt-to-GDP would breach the 40 percent threshold in the near term and remain above the threshold during the entire forecast horizon. The rest of the debt indicators remain below their respective thresholds under the stress tests.

PUBLIC DEBT SUSTAINABILITY ANALYSIS

14. Under the baseline, the PV of total public debt-to-GDP remains below but close to its corresponding threshold (Table 4 and Figure 2). The present value (PV) of total public debt-to-GDP is expected to moderately decline—primarily due to higher SACU transfers—before increasing again in the medium-term. The PV of public debt-to-GDP is expected to remain below the 55 percent threshold, in the medium term. The PV of the debt-to-revenue ratio is expected to increase due to sluggish revenue projections in the medium term. The debt service-to-revenue ratio is mainly driven by the changing mix of domestic and external financing. In the near term, domestic debt issuance falls amid improving fiscal balances and, over the medium term, Lesotho transitions toward domestic financing away from external borrowing on concessional terms.

15. Stress tests show that Lesotho's public debt is vulnerable to a number of shocks in the standardized tests (Table 4 and Figure 2). Along with current transfers-to-GDP and export shocks, the PV of public debt-to-GDP is most vulnerable to contingent liability, exchange rate, and real GDP growth shocks, all of which lead to a breach of the 55 percent threshold in the near term.

RISK RATING AND VULNERABILITIES

16. The risk ratings of both Lesotho's external and overall public debt are "moderate" with limited space to absorb shocks. The moderate risk rating of external debt distress comes from the PV of PPG external debt-to-GDP breaching its threshold under the stress tests, while the moderate overall risk rating of public debt distress comes from the moderate risk of external debt distress and from the PV of

[11] Under the standardized stress tests this is captured in other flows shock.

public debt-to-GDP breaching its benchmark under the stress tests. All the external and public debt indicators remain below their thresholds under the baseline. The granularity of risk rating—assessing available space the country has to absorb shocks without being downgraded to a high-risk category—remains limited.

17. Risks to debt sustainability are tilted to the downside. The key risks are the realization of contingent liabilities, delayed fiscal adjustment, and further accumulating arrears. While external and total PV of debt-to-GDP ratios have improved, domestic and external risks remain high. Weak public financial management (PFM) and poor liquidity management—resulting in growing domestic arrears and the rapid increase in domestic debt—can quickly dry up fiscal space to absorb further shocks. Larger contingent liabilities also put debt sustainability at significant risk, for example, the civil service pension funding gap, weak SOE balance sheets, and asset seizures (from the dispute with Frazer Solar GmbH). On the external side, the slowdown in external demand will weigh on the debt outlook, for example, sluggish growth in South Africa will impact remittances and a broader regional slowdown in domestic demand across SACU could lead to lower-than-expected imports and, therefore, SACU transfers. Exchange rate valuation effects amid global financial tightening are also a material risk for external debt. However, grant-financed infrastructure megaprojects, such as the LHWP-II, remain supportive to the growth and debt outlook.

18. Fiscal consolidation coupled with reforms to improve governance and spending efficiency remain critical for debt sustainability. The DSA highlights the need for fiscal consolidation—via controlling recurrent expenditure, improving the efficiency of capital spending, and addressing PFM weaknesses to reduce arrears and contingent liability risks—supported by structural reforms to promote higher and sustainable private sector-led growth. The DSA also calls for a conservative debt management strategy focused on concessional sources wherever possible and pursuing objectives to develop local currency debt. Finally, efforts are needed to further increase coverage, quality, and relatability of debt statistics.

Authorities' Views

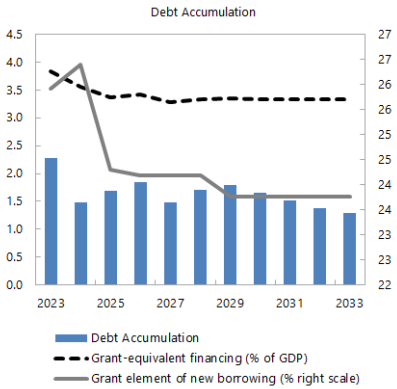
19. The authorities concurred with staff's assessment and the need for fiscal consolidation and prudent debt management to reduce debt vulnerabilities over the medium term. They acknowledged the opportunity that the SACU windfall provides to limit net increases in debt and support macroeconomic stability over the medium-term, while also maintaining a conservative debt management strategy that does not crowd out the private sector. They underscored the need for the Ministry of Finance and Development Planning and the Central Bank of Lesotho to push ahead with the development of local currency bonds markets. The authorities also noted progress in addressing the funding gap of the pension fund and reiterated their commitment to improve monitoring of contingent liabilities to ensure a comprehensive overview of debt.

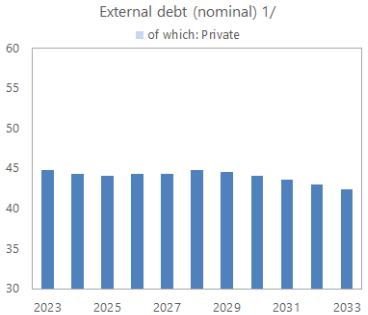
Table 1. Lesotho: External Debt Sustainability Framework, Baseline Scenario, 2023–43

(In percent of GDP, unless otherwise indicated)

	Actual			Projections								Average 8/	
	2020	2021	2022	2023	2024	2025	2026	2027	2028	2033	2043	Historical	Projections
External debt (nominal) 1/	42.1	40.4	43.9	44.8	44.3	44.1	44.3	44.4	44.9	42.4	36.7	39.4	43.9
of which: public and publicly guaranteed (PPG)	42.1	40.4	43.9	44.8	44.3	44.1	44.3	44.4	44.9	42.4	36.7	39.4	43.9
Change in external debt	-3.3	-1.8	3.6	0.9	-0.5	-0.2	0.2	0.1	0.5	-0.6	-0.4		
Identified net debt-creating flows	4.9	-1.0	8.5	0.9	2.4	6.9	5.5	3.9	2.8	3.0	3.3	2.3	3.5
Non-interest current account deficit	0.2	3.8	7.2	1.8	3.4	7.9	6.3	4.6	3.3	3.5	3.8	3.8	4.2
Deficit in balance of goods and services	52.2	45.4	45.2	47.8	48.4	47.9	45.7	43.9	42.6	45.8	52.9	48.8	45.9
Exports	39.4	44.4	44.9	44.3	44.3	43.9	44.1	43.8	43.6	47.3	55.8		
Imports	91.7	89.8	90.1	92.1	92.7	91.8	89.7	87.7	86.2	93.1	108.7		
Net current transfers (negative = inflow)	-32.3	-22.9	-19.4	-28.1	-27.8	-23.1	-22.4	-22.3	-22.2	-24.0	-27.9	-26.5	-24.1
of which: official	-26.6	-17.3	-14.1	-22.9	-22.8	-18.3	-17.6	-17.6	-17.6	-19.0	-22.2		
Other current account flows (negative = net inflow)	-19.7	-18.8	-18.6	-17.8	-17.2	-16.9	-17.0	-17.0	-17.1	-18.4	-21.1	-18.4	-17.5
Net FDI (negative = inflow)	-1.2	1.4	-0.7	-0.7	-0.7	-0.7	-0.7	-0.7	-0.7	-0.8	-0.9	-2.4	-0.7
Endogenous debt dynamics 2/	5.9	-6.2	2.1	-0.2	-0.2	-0.3	-0.1	0.0	0.2	0.3	0.4		
Contribution from nominal interest rate	0.8	0.6	0.7	0.7	0.7	0.8	0.8	0.8	0.8	0.9	0.9		
Contribution from real GDP growth	2.0	-0.6	-0.9	-0.9	-1.0	-1.1	-0.9	-0.8	-0.7	-0.6	-0.5		
Contribution from price and exchange rate changes	3.2	-6.2	2.2	...	...	...	...	...	...	...	...		
Residual 3/	-8.2	-0.8	-5.0	0.0	-3.0	-7.1	-5.3	-3.9	-2.3	-3.7	-3.7	-1.3	-3.7
of which: exceptional financing	-2.8	-0.2	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0		
Sustainability indicators													
PV of PPG external debt-to-GDP ratio	...	...	29.4	32.1	32.0	32.2	32.7	33.2	33.9	33.3	29.1		
PV of PPG external debt-to-exports ratio	...	...	65.4	72.5	72.2	73.4	74.3	75.8	77.7	70.3	52.3		
PPG debt service-to-exports ratio	7.2	5.3	6.5	6.1	6.8	6.3	5.7	5.8	5.8	6.4	5.3		
PPG debt service-to-revenue ratio	5.7	5.6	7.6	5.6	6.4	6.3	5.8	5.9	5.8	7.0	6.8		
Gross external financing need (Million of U.S. dollars)	39.5	192.0	230.9	93.2	144.8	265.1	225.2	184.6	151.8	215.9	356.7		
Key macroeconomic assumptions													
Real GDP growth (in percent)	-3.9	1.8	2.1	2.1	2.3	2.5	2.1	1.8	1.6	1.5	1.5	0.3	1.9
GDP deflator in US dollar terms (change in percent)	-6.5	17.1	-5.2	-3.6	2.7	2.0	1.8	1.3	1.2	3.3	3.3	0.1	2.0
Effective interest rate (percent) 4/	1.5	1.8	1.8	1.6	1.7	1.8	1.9	1.9	2.0	2.2	2.5	1.7	1.9
Growth of exports of G&S (US dollar terms, in percent)	-25.4	34.4	-2.1	-2.8	5.0	3.6	4.4	2.5	2.5	6.6	6.7	2.0	4.3
Growth of imports of G&S (US dollar terms, in percent)	-11.6	16.9	-2.8	0.6	5.8	3.6	1.7	0.8	1.1	6.5	6.5	-1.0	4.3
Grant element of new public sector borrowing (in percent)	...	...	...	25.9	26.4	24.2	24.2	24.2	23.8	23.8	23.8	...	24.4
Government revenues (excluding grants, in percent of GDP)	50.4	41.9	38.3	48.8	47.1	43.6	43.2	43.3	43.3	43.4	43.7	45.2	44.4
Aid flows (in Million of US dollars) 5/	796.0	823.3	799.0	118.0	114.5	100.7	105.7	103.8	109.1	139.3	222.0		
Grant-equivalent financing (in percent of GDP) 6/	...	...	...	3.8	3.6	3.4	3.4	3.3	3.3	3.3	3.3	...	3.4
Grant-equivalent financing (in percent of external financing) 6/	...	...	...	52.0	55.3	54.3	55.6	58.0	56.5	55.5	56.2	...	55.2
Nominal GDP (Million of US dollars)	2,133	2,544	2,464	2,426	2,550	2,667	2,773	2,861	2,942	3,737	6,029		
Nominal dollar GDP growth	-10.2	19.2	-3.2	-1.5	5.1	4.6	4.0	3.1	2.8	4.9	4.9	0.4	3.9
Memorandum items:													
PV of external debt 7/	...	...	29.4	32.1	32.0	32.2	32.7	33.2	33.9	33.3	29.1		
In percent of exports	...	...	65.4	72.5	72.2	73.4	74.3	75.8	77.7	70.3	52.3		
Total external debt service-to-exports ratio	7.2	5.3	6.5	6.1	6.8	6.3	5.7	5.8	5.8	6.4	5.3		
PV of PPG external debt (in Million of US dollars)			723.6	779.8	815.6	858.8	907.8	948.8	997.5	1242.6	1757.1		
(PVt-PVt-1)/GDPt-1 (in percent)				2.3	1.5	1.7	1.8	1.5	1.7	1.3	1.1		
Non-interest current account deficit that stabilizes debt ratio	3.5	5.5	3.6	0.9	3.9	8.1	6.1	4.6	2.9	4.1	4.3		

Definition of external/domestic debt	Currency-based
Is there a material difference between the two criteria?	No





Sources: Country authorities; and staff estimates and projections.

1/ Includes both public and private sector external debt.

2/ Derived as [r - g - ρ(1+g)]/(1+g+ρ+gρ) times previous period debt ratio, with r = nominal interest rate; g = real GDP growth rate, and ρ = growth rate of GDP deflator in U.S. dollar terms.

3/ Includes exceptional financing (i.e., changes in arrears and debt relief); changes in gross foreign assets; and valuation adjustments. For projections also includes contribution from price and exchange rate changes.

4/ Current-year interest payments divided by previous period debt stock.

5/ Defined as grants, concessional loans, and debt relief.

6/ Grant-equivalent financing includes grants provided directly to the government and through new borrowing (difference between the face value and the PV of new debt).

7/ Assumes that PV of private sector debt is equivalent to its face value.

8/ Historical averages are generally derived over the past 10 years, subject to data availability, whereas projections averages are over the first year of projection and the next 10 years.

Table 2. Lesotho: Sensitivity Analysis for Key Indicators of Public and Publicly-Guaranteed External Debt, 2023–33

(In percent of GDP)

	Projections 1/										
	2023	2024	2025	2026	2027	2028	2029	2030	2031	2032	2033
PV of debt-to GDP ratio											
Baseline	32	32	32	33	33	34	34	34	34	34	33
A. Alternative Scenarios											
A1. Key variables at their historical averages in 2024-2034 2/	32	33	30	29	28	28	29	29	29	30	30
B. Bound Tests											
B1. Real GDP growth	32	32	35	35	36	37	37	37	37	36	36
B2. Primary balance	32	32	34	35	36	37	37	37	37	36	36
B3. Exports	32	32	**44**	**45**	**45**	**46**	**46**	**46**	**46**	**45**	**44**
B4. Other flows 3/	32	32	**42**	**43**	**44**	**44**	**45**	**44**	**43**	**42**	**41**
B5. Depreciation	32	32	**43**	**44**	**45**	**47**	**49**	**50**	**51**	**51**	**52**
B6. Combination of B1-B5	32	32	33	34	34	35	35	35	35	35	35
C. Tailored Tests											
C1. Combined contingent liabilities	32	32	**44**	**45**	**46**	**48**	**48**	**48**	**48**	**48**	**47**
C2. Natural disaster	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.
C3. Commodity price	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.
C4. Market Financing	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.
Threshold	40	40	40	40	40	40	40	40	40	40	40
PV of debt-to-exports ratio											
Baseline	72	72	73	74	76	78	77	75	74	72	70
A. Alternative Scenarios											
A1. Key variables at their historical averages in 2024-2034 2/	72	75	69	65	64	65	65	64	64	64	64
B. Bound Tests											
B1. Real GDP growth	72	72	73	74	76	78	77	75	74	72	70
B2. Primary balance	72	72	78	80	81	84	83	82	80	78	76
B3. Exports	72	72	116	118	120	123	121	119	115	111	107
B4. Other flows 3/	72	72	97	98	100	102	100	98	94	91	87
B5. Depreciation	72	72	98	101	104	108	109	111	111	110	109
B6. Combination of B1-B5	72	72	65	82	84	86	85	84	83	82	80
C. Tailored Tests											
C1. Combined contingent liabilities	72	72	101	103	106	109	109	107	105	103	100
C2. Natural disaster	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.
C3. Commodity price	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.
C4. Market Financing	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.
Threshold	180	180	180	180	180	180	180	180	180	180	180
Debt service-to-exports ratio											
Baseline	6	7	6	6	6	6	6	6	6	6	6
A. Alternative Scenarios											
A1. Key variables at their historical averages in 2024-2034 2/	6	7	7	6	6	6	7	7	7	7	7
B. Bound Tests											
B1. Real GDP growth	6	7	6	6	6	6	6	6	6	6	6
B2. Primary balance	6	7	6	6	6	6	6	6	7	7	7
B3. Exports	6	7	8	8	8	8	8	9	10	10	10
B4. Other flows 3/	6	7	7	6	7	7	7	8	8	8	8
B5. Depreciation	6	7	6	6	7	7	7	7	9	9	9
B6. Combination of B1-B5	6	7	8	7	7	7	7	7	7	7	7
C. Tailored Tests											
C1. Combined contingent liabilities	6	7	7	7	7	7	7	7	7	7	7
C2. Natural disaster	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.
C3. Commodity price	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.
C4. Market Financing	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.
Threshold	15	15	15	15	15	15	15	15	15	15	15
Debt service-to-revenue ratio											
Baseline	6	6	6	6	6	6	6	6	7	7	7
A. Alternative Scenarios											
A1. Key variables at their historical averages in 2024-2034 2/	6	7	7	6	6	6	7	7	7	7	7
B. Bound Tests											
B1. Real GDP growth	6	6	7	6	6	6	7	7	7	7	8
B2. Primary balance	6	6	6	6	6	6	6	7	7	7	8
B3. Exports	6	6	7	7	7	7	7	8	9	9	9
B4. Other flows 3/	6	6	7	7	7	7	7	8	9	9	9
B5. Depreciation	6	6	6	7	7	7	7	7	9	10	10
B6. Combination of B1-B5	6	6	7	6	6	6	7	7	7	7	7
C. Tailored Tests											
C1. Combined contingent liabilities	6	6	7	7	7	7	7	7	8	8	8
C2. Natural disaster	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.
C3. Commodity price	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.
C4. Market Financing	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.
Threshold	18	18	18	18	18	18	18	18	18	18	18

Sources: Country authorities; and staff estimates and projections.
1/ A bold value indicates a breach of the threshold.
2/ Variables include real GDP growth, GDP deflator (in U.S. dollar terms), non-interest current account in percent of GDP, and non-debt creating flows.
3/ Includes official and private transfers and FDI.

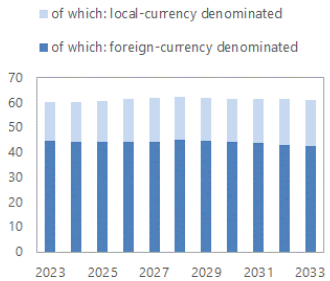
Table 3. Lesotho: Public Sector Debt Sustainability Framework, Baseline Scenario, 2023–43

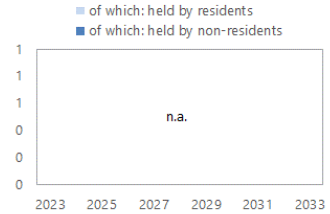
(In percent of GDP, unless otherwise indicated)

	Actual			Projections								Average 6/	
	2020	2021	2022	2023	2024	2025	2026	2027	2028	2033	2043	Historical	Projections
Public sector debt 1/	**53.6**	**55.7**	**59.8**	**60.4**	**60.4**	**60.7**	**61.3**	**61.8**	**62.3**	**61.2**	**61.7**	**48.5**	**61.3**
of which: external debt	**42.1**	**40.4**	**43.9**	**44.8**	**44.3**	**44.1**	**44.3**	**44.4**	**44.9**	**42.4**	**36.7**	**39.4**	**44.0**
Change in public sector debt	-3.3	2.1	4.1	0.5	0.0	0.3	0.6	0.5	0.5	-0.1	0.1		
Identified debt-creating flows	**-8.4**	**0.6**	**11.5**	**-4.7**	**-2.5**	**1.0**	**1.2**	**0.9**	**0.8**	**0.5**	**0.6**	**3.0**	**-0.1**
Primary deficit	**-1.5**	**3.8**	**6.2**	**-2.6**	**-1.3**	**2.0**	**1.9**	**1.3**	**1.1**	**0.5**	**0.2**	**2.4**	**0.4**
Revenue and grants	53.4	44.9	41.5	51.4	49.7	46.1	45.7	45.8	45.8	45.9	46.2	**48.6**	**46.7**
of which: grants	3.0	3.1	3.2	2.6	2.5	2.5	2.5	2.5	2.5	2.5	2.5		
Primary (noninterest) expenditure	51.8	48.7	47.6	48.7	48.4	48.0	47.6	47.1	46.9	46.4	46.4	**51.0**	**47.2**
Automatic debt dynamics	**-6.8**	**-3.2**	**5.3**	**-2.1**	**-1.2**	**-1.0**	**-0.7**	**-0.4**	**-0.3**	**0.0**	**0.4**		
Contribution from interest rate/growth differential	2.2	-1.9	-2.9	-2.1	-1.2	-1.0	-0.7	-0.4	-0.3	0.0	0.4		
of which: contribution from average real interest rate	-0.1	-1.0	-1.8	-0.8	0.1	0.5	0.5	0.7	0.7	1.0	1.3		
of which: contribution from real GDP growth	2.3	-0.9	-1.2	-1.2	-1.4	-1.5	-1.3	-1.1	-1.0	-0.9	-0.9		
Contribution from real exchange rate depreciation	-9.0	-1.3	8.2	...	...	...	...	...	...	...	...		
Other identified debt-creating flows	**0.0**	**0.0**	**0.0**	**0.0**	**0.0**	**0.0**	**0.0**	**0.0**	**0.0**	**0.0**	**0.0**	**0.0**	**0.0**
Privatization receipts (negative)	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0		
Recognition of contingent liabilities (e.g., bank recapitalization)	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0		
Debt relief (HIPC and other)	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0		
Other debt creating or reducing flow (please specify)	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0		
Residual	**5.0**	**1.4**	**-7.3**	**5.2**	**2.5**	**-0.7**	**-0.6**	**-0.3**	**-0.3**	**-0.6**	**-0.5**	**-1.0**	**0.2**
Sustainability indicators													
PV of public debt-to-GDP ratio 2/	**...**	**...**	**47.1**	**47.7**	**48.1**	**48.7**	**49.7**	**50.6**	**51.4**	**52.1**	**54.1**		
PV of public debt-to-revenue and grants ratio	**...**	**...**	**113.5**	**92.8**	**96.7**	**105.8**	**108.7**	**110.4**	**112.1**	**113.6**	**117.0**		
Debt service-to-revenue and grants ratio 3/	**5.4**	**10.9**	**18.7**	**10.8**	**11.6**	**12.4**	**12.0**	**12.8**	**13.5**	**15.3**	**18.2**		
Gross financing need 4/	1.4	8.7	13.9	2.9	4.5	7.7	7.4	7.2	7.3	7.5	8.6		
Key macroeconomic and fiscal assumptions													
Real GDP growth (in percent)	-3.9	1.8	2.1	2.1	2.3	2.5	2.1	1.8	1.6	1.5	1.5	**0.3**	**1.8**
Average nominal interest rate on external debt (in percent)	1.8	1.6	1.8	1.7	1.7	1.8	1.9	1.9	2.0	2.2	2.5	**1.7**	**2.0**
Average real interest rate on domestic debt (in percent)	-3.0	1.5	1.1	0.5	2.2	3.3	3.4	3.8	3.7	4.4	4.5	**-0.8**	**3.5**
Real exchange rate depreciation (in percent, + indicates depreciation)	-19.0	-3.2	21.9	...	...	...	...	...	...	...	...	**3.4**	**...**
Inflation rate (GDP deflator, in percent)	3.5	6.3	8.4	6.7	5.3	4.8	5.0	4.9	5.0	4.9	4.9	**6.9**	**5.1**
Growth of real primary spending (deflated by GDP deflator, in percent)	-2.2	-4.3	-0.1	4.5	1.6	1.7	1.2	0.8	1.2	1.5	1.5	**-1.4**	**1.6**
Primary deficit that stabilizes the debt-to-GDP ratio 5/	1.8	1.7	2.0	-3.2	-1.3	1.7	1.3	0.8	0.6	0.6	0.1	**1.9**	**0.3**
PV of contingent liabilities (not included in public sector debt)	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0		

Definition of external/domestic debt	**Currency-based**
Is there a material difference between the two criteria?	**No**

Public sector debt 1/





Sources: Country authorities; and staff estimates and projections.

1/ Coverage of debt: The central government, central bank, government-guaranteed debt . Definition of external debt is Currency-based.

2/ The underlying PV of external debt-to-GDP ratio under the public DSA differs from the external DSA with the size of differences depending on exchange rates projections.

3/ Debt service is defined as the sum of interest and amortization of medium and long-term, and short-term debt.

4/ Gross financing need is defined as the primary deficit plus debt service plus the stock of short-term debt at the end of the last period and other debt creating/reducing flows.

5/ Defined as a primary deficit minus a change in the public debt-to-GDP ratio ((-): a primary surplus), which would stabilize the debt ratio only in the year in question.

6/ Historical averages are generally derived over the past 10 years, subject to data availability, whereas projections averages are over the first year of projection and the next 10 years.

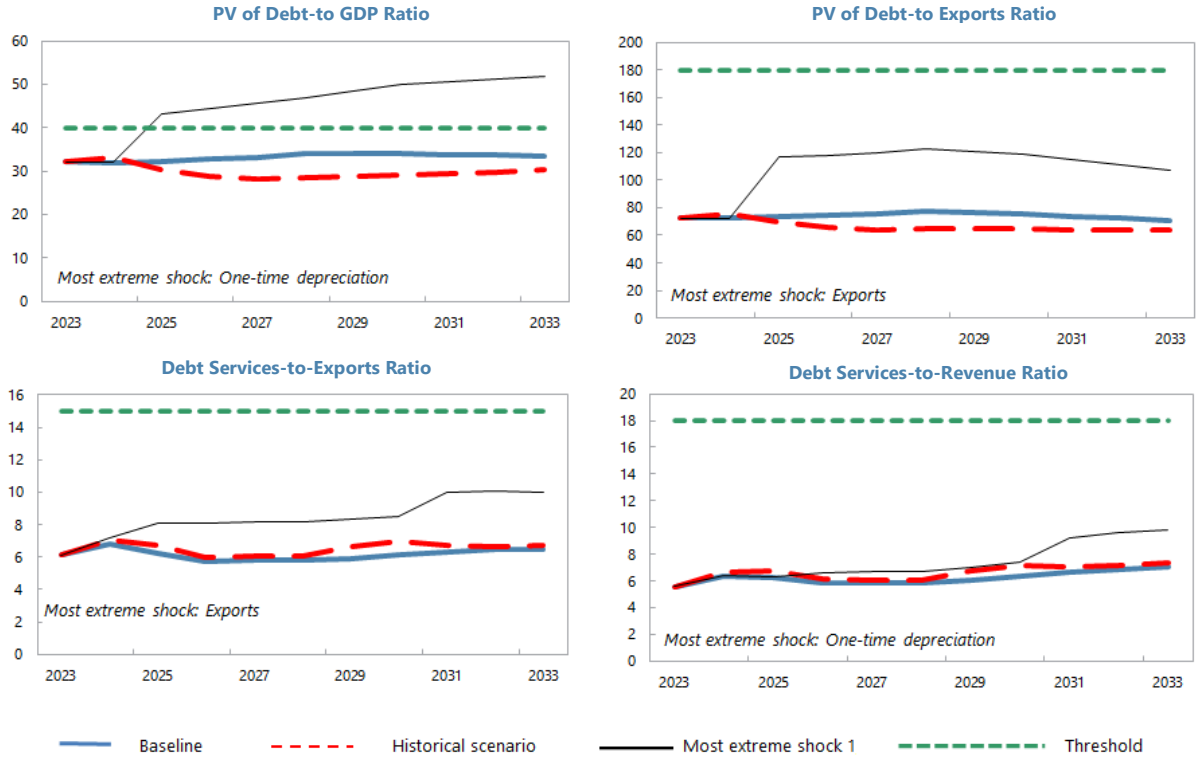
Table 4. Lesotho: Sensitivity Analysis for Key Indicators of Public Debt, 2023–33

(In percent of GDP)

	Projections 1/										
	2023	2024	2025	2026	2027	2028	2029	2030	2031	2032	2033
PV of Debt-to-GDP Ratio											
Baseline	48	48	49	50	51	51	51	52	52	52	52
A. Alternative Scenarios											
A1. Key variables at their historical averages in 2024-2034 2/	48	48	49	51	52	54	55	**56**	**57**	**59**	**60**
B. Bound Tests											
B1. Real GDP growth	48	48	52	55	**57**	**59**	**60**	**62**	**63**	**65**	**66**
B2. Primary balance	48	48	52	53	54	54	54	54	55	55	55
B3. Exports	48	48	**56**	**57**	**58**	**59**	**59**	**59**	**59**	**59**	**58**
B4. Other flows 3/	48	48	**59**	**60**	**61**	**62**	**62**	**62**	**61**	**61**	**60**
B5. Depreciation	48	48	**60**	**59**	**58**	**57**	**56**	55	54	54	53
B6. Combination of B1-B5	48	48	51	51	52	53	53	53	53	53	54
C. Tailored Tests											
C1. Combined contingent liabilities	48	48	**61**	**62**	**64**	**65**	**66**	**66**	**66**	**66**	**66**
C2. Natural disaster	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.
C3. Commodity price	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.
C4. Market Financing	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.
TOTAL public debt benchmark	55	55	55	55	55	55	55	55	55	55	55
PV of Debt-to-Revenue Ratio											
Baseline	93	97	106	109	110	112	112	112	113	113	114
A. Alternative Scenarios											
A1. Key variables at their historical averages in 2024-2034 2/	93	97	107	111	114	117	119	122	125	128	131
B. Bound Tests											
B1. Real GDP growth	93	97	113	119	124	129	131	135	138	141	144
B2. Primary balance	93	97	112	115	117	119	118	119	119	119	120
B3. Exports	93	97	122	125	127	129	129	129	128	127	127
B4. Other flows 3/	93	97	128	131	133	135	135	134	133	132	131
B5. Depreciation	93	97	131	129	126	124	121	120	118	117	116
B6. Combination of B1-B5	93	97	111	112	114	116	115	116	116	116	117
C. Tailored Tests											
C1. Combined contingent liabilities	93	97	100	105	109	113	115	117	119	120	122
C2. Natural disaster	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.
C3. Commodity price	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.
C4. Market Financing	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.
Debt Service-to-Revenue Ratio											
Baseline	11	12	12	12	13	14	14	15	15	15	15
A. Alternative Scenarios											
A1. Key variables at their historical averages in 2024-2034 2/	11	12	12	12	13	14	14	16	15	16	16
B. Bound Tests											
B1. Real GDP growth	11	12	13	13	14	15	15	17	17	18	18
B2. Primary balance	11	12	12	13	13	14	14	16	15	16	16
B3. Exports	11	12	12	13	13	14	14	16	16	17	17
B4. Other flows 3/	11	12	13	13	13	14	14	17	17	17	17
B5. Depreciation	11	12	12	12	13	13	14	15	15	15	15
B6. Combination of B1-B5	11	12	13	12	13	14	14	16	15	16	16
C. Tailored Tests											
C1. Combined contingent liabilities	11	12	15	15	16	16	17	17	16	17	17
C2. Natural disaster	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.
C3. Commodity price	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.
C4. Market Financing	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.

Sources: Country authorities; and staff estimates and projections.
1/ A bold value indicates a breach of the benchmark.
2/ Variables include real GDP growth, GDP deflator and primary deficit in percent of GDP.
3/ Includes official and private transfers and FDI.

Figure 1. Lesotho: Indicators of Public and Publicly-Guaranteed External Debt under Alternative Scenarios, 2023–33



Customization of Default Settings	Size	Interactions
Tailored Stress		
Combined CL	Yes	
Natural disaster	n.a.	n.a.
Commodity price	n.a.	n.a.
Market financing	n.a.	n.a.

Note: "Yes" indicates any change to the size or interactions of the default settings for the stress tests. "n.a." indicates that the stress test does not apply.

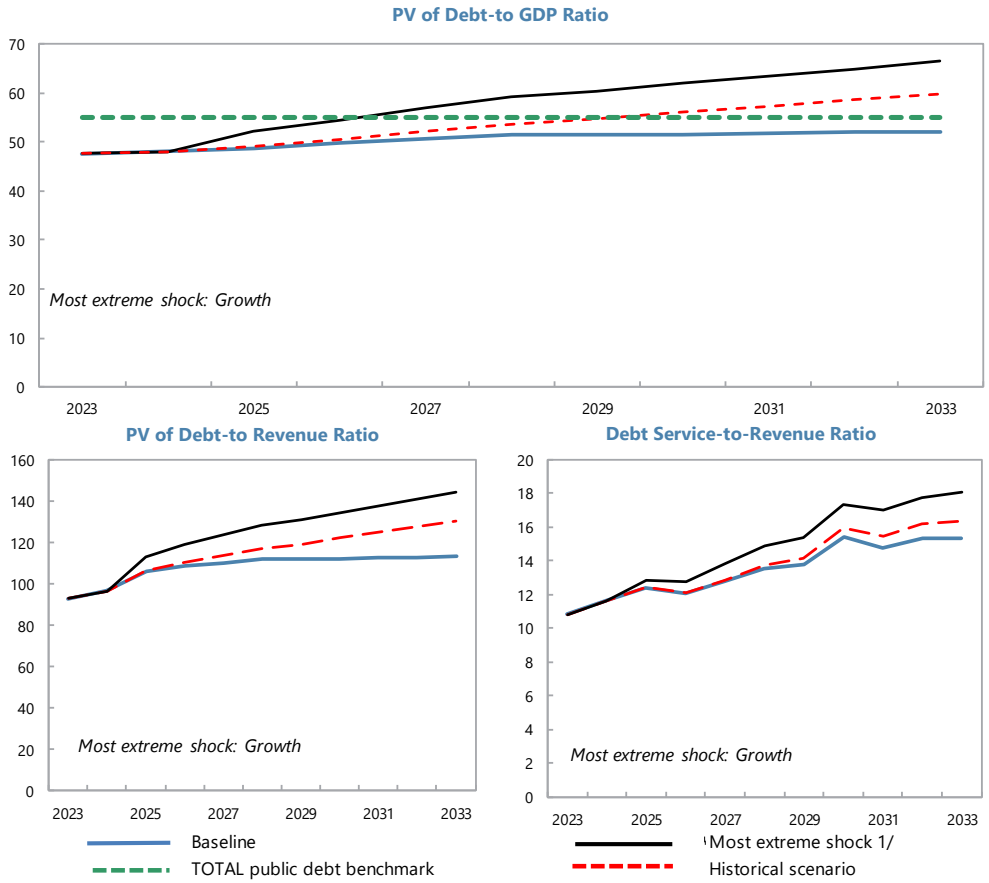
Borrowing assumptions on additional financing needs resulting from the stress tests*	Default	User defined
Shares of marginal debt		
External PPG MLT debt	100%	
Terms of marginal debt		
Avg. nominal interest rate on new borrowing in USD	2.6%	2.6%
USD Discount rate	5.0%	5.0%
Avg. maturity (incl. grace period)	22	22
Avg. grace period	5	5

* Note: All the additional financing needs generated by the shocks under the stress tests are assumed to be covered by PPG external MLT debt in the external DSA. Default terms of marginal debt are based on baseline 10-year projections.

Sources: Country authorities; and staff estimates and projections.

1/ The most extreme stress test is the test that yields the highest ratio in or before 2033. The stress test with a one-off breach is also presented (if any), while the one-off breach is deemed away for mechanical signals. When a stress test with a one-off breach happens to be the most exterme shock even after disregarding the one-off breach, only that stress test (with a one-off breach) would be presented.

Figure 2. Lesotho: Indicators of Public Debt Under Alternative Scenarios, 2023–33



Borrowing assumptions on additional financing needs resulting from the stress tests*	Default	User defined
Shares of marginal debt		
External PPG medium and long-term	51%	80%
Domestic medium and long-term	49%	20%
Domestic short-term	0%	0%
Terms of marginal debt		
External MLT debt		
Avg. nominal interest rate on new borrowing in USD	2.6%	2.6%
Avg. maturity (incl. grace period)	22	22
Avg. grace period	5	5
Domestic MLT debt		
Avg. real interest rate on new borrowing	4.7%	4.7%
Avg. maturity (incl. grace period)	5	5
Avg. grace period	4	0
Domestic short-term debt		
Avg. real interest rate	2.1%	2.1%

* Note: The public DSA allows for domestic financing to cover the additional financing needs generated by the shocks under the stress tests in the public DSA. Default terms of marginal debt are based on baseline 10-year projections.

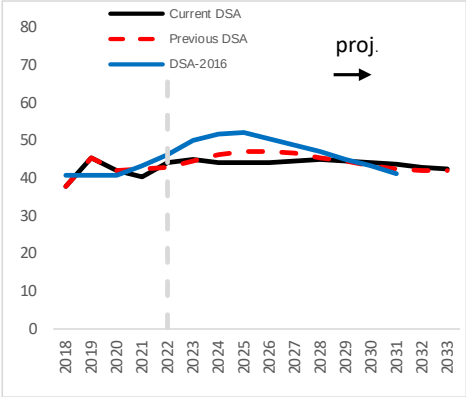
Sources: Country authorities; and staff estimates and projections.

1/ The most extreme stress test is the test that yields the highest ratio in or before 2033. The stress test with a one-off breach is also presented (if any), while the one-off breach is deemed away for mechanical signals. When a stress test with a one-off breach happens to be the most exterme shock even after disregarding the one-off breach, only that stress test (with a one-off breach) would be presented.

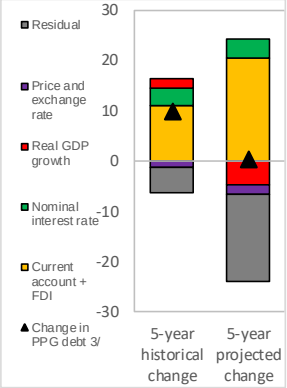
Figure 3. Lesotho: Drivers of Debt Dynamics – Baseline Scenario

External Debt

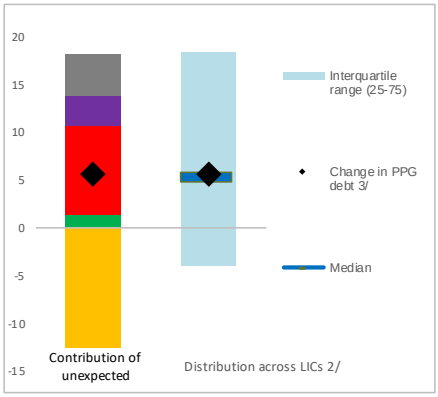
Gross Nominal PPG External Debt
(In percent of GDP; DSA vintages)



Debt-Creating Flows
(Percent of GDP)

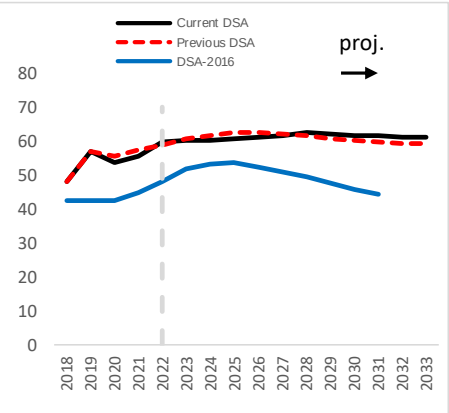


Unexpected Changes in Debt 1/
(Past 5 years, percent of GDP)

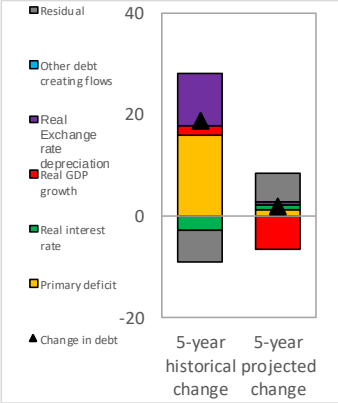


Public Debt

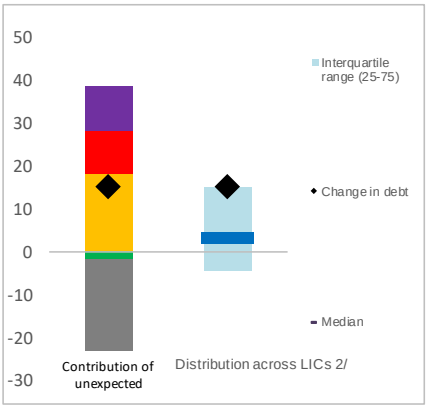
Gross Nominal Public Debt
(In percent of GDP; DSA vintages)



Debt-Creating Flows
(Percent of GDP)



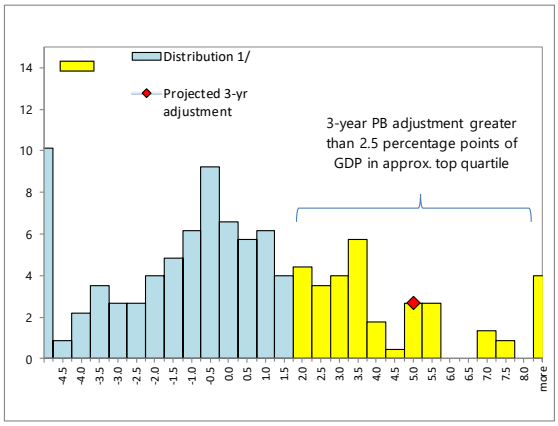
Unexpected Changes in Debt 1/
(Past 5 years, percent of GDP)



1/ Difference between anticipated and actual contributions on debt ratios.
2/ Distribution across LICs for which LIC DSAs were produced.
3/ Given the relatively low private external debt for average low-income countries, a ppt change in PPG external debt should be largely explained by the drivers of the external debt dynamics equation.

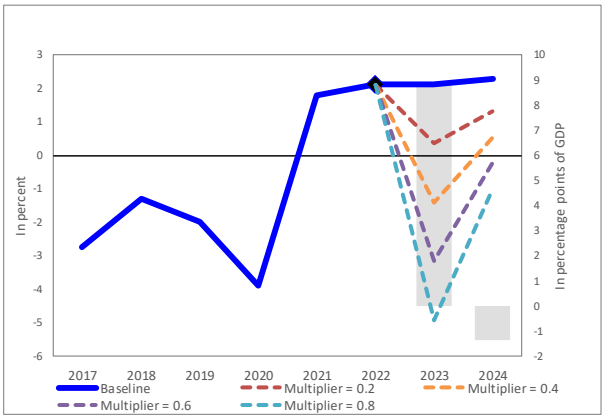
Figure 4. Lesotho: Realism Tools

3-Year Adjustment in Primary Balance
(Percentage points of GDP)



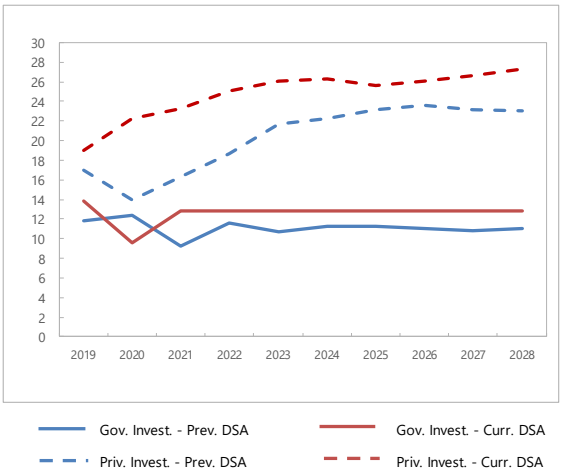
1/ Data cover Fund-supported programs for LICs (excluding emergency financing) approved since 1990. The size of 3-year adjustment from program inception is found on the horizontal axis; the percent of sample is found on the vertical axis.

Fiscal Adjustment and Possible Growth Paths 1/



1/ Bars refer to annual projected fiscal adjustment (right-hand side scale) and lines show possible real GDP growth paths under different fiscal multipliers (left-hand side scale).

Public and Private Investment Rates
(Percent of GDP)



Contribution to Real GDP Growth
(Percent, 5-year average)

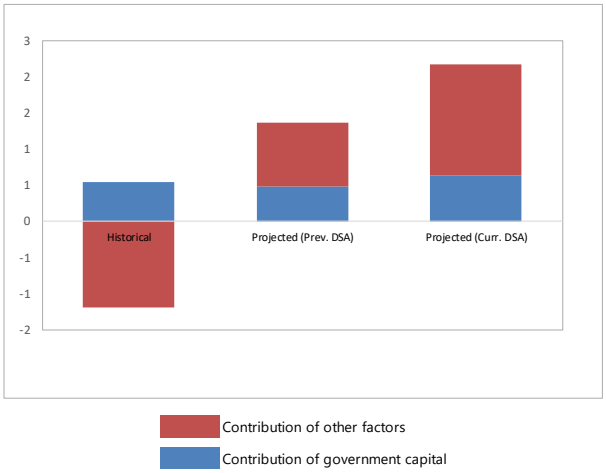


Figure 5. Lesotho: Qualification of the Moderate Category, 2023–2033[1/]

Sources: Country authorities; and staff estimates and projections.

1/ For the PV Debt/GDP and PV Debt/Exports thresholds, x is 20 percent and y is 40 percent. For Debt Services/Exports and Debt Service/Revenue thresholds, x is 12 percent and y is 35 percent.